Time to Reduce Equity Risk: Why Underappreciated Macro Risks Could Derail the Bull Market | Warren Pies

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis Warren Pies argues that while the recent earnings season has driven strong market performance, investors currently face deteriorating market structure and mounting macro risks that warrant a risk-reduction strategy. Despite bullish sentiment on AI innovation and positive earnings data, factors such as low correlations, political pressure at the Federal Reserve regarding inflation, and an upcoming midterm election cycle create unfavorable conditions for the equity curve between August 15th and October 15th. Consequently, Pies advocates for neutralizing stock overweight positions in favor of cash or benchmark-weighted portfolios to protect gains until market structural risks normalize.

2. Key Arguments & Data

3. **Market Structure & Timing:** The current period from August 15th to October 15th is viewed as high risk due to "single stock volatility" being crushed (dropped from 50% down to ~35%) while correlations remain in the single digits. Historically, this volatility contraction precedes earnings and should rise back, but currently, it indicates a fragile environment where risk is concentrated in specific large caps rather than broadly diversified risks.
4. **Fed Policy & Macro Risks:** The market has significantly underestimated the likelihood of Fed rate hikes in September (median odds dropped from 75% in July to ~40%). Pies notes that core inflation data and political pressure on policymakers, specifically referencing Ben Sarnackâ€™s commentary regarding oil price shocks and public perception of inflation, are driving hawkish sentiment despite supply-side explanations being insufficient.
5. **Tech Sector Dynamics:** While AI remains a bullish long-term play, immediate sector performance is facing headwinds. Combined ARR (Annual Recurring Revenue) for the major labs (e.g., Anthropic, OpenAI) currently shows a ~$10B undershoot compared to expectations, weighing on investor confidence. Additionally, "funding shorts" and pair trading have created divergences between

semiconductor stocks (which have led the market) and software sectors, creating temporary sector rotation risks.

6. **Bond Market Mechanics:** A Fed rate hike would historically flatten the yield curve (bear flattener). To signal a return to future cuts or lower long-term yields, the economy must slow sufficiently first; the current yield curve positioning suggests higher term premiums rather than market-driven corrections. Pies believes AI issuance is not currently significant enough to cause stress in the Treasury market compared to government balance sheets.
7. **Portfolio Positioning:** The speaker recently downgraded stocks for clients from an overweight position to a neutral/benchmark weight and increased cash holdings. Commodities were taken down to benchmark weight to avoid potential volatility in the event of supply shocks (e.g., energy/geopolitics).

8. **Energy Sector Role:** Energy is viewed as a structural diversifier. With current oil prices remaining above $90 and geopolitical tensions near the Strait of Hormuz, an energy overweight is recommended to hedge equity portfolios against inflation and macro shocks.

9. Actionable Takeaways

10. **Reduce Concentration Risk:** Investors who have taken significant profits or held overweight positions in equities should consider taking down risk by shifting toward cash or neutral benchmark allocations until market correlations reset.
11. **Monitor Fed Signals Closely:** Do not rely solely on headline data for inflation (CPI/PPI); track PCE and core inflation models which suggest the Fed's "dovish" reaction may be wearing thin due to political pressure regarding oil prices and labor market conditions.
12. **Maintain Tech Leadership Expectation:** For the next leg of the rally to continue, tech leadership must reassert dominance (semiconductors and hyperscalers moving in sync). Until clear proof of AI ROI comes from the hyperscaler spend cycle or lab ARR numbers improve, treat AI sector growth as high-volatility.
13. **Hedge with Commodities/Energy:** Maintain a structural overweight position in energy assets to act as an uncorrelated hedge against

potential geopolitical inflations and Fed tightening cycles.

14. **Watch Sector Correlations:** Be aware of the "alligator jaws open" phenomenon where semiconductor weakness correlates with software strength; monitor this divergence as it may signal sector-specific correction rather than macro-driven risk.

Full Transcript

If I knew with certainly the Fed was going to hike in September, I'd be underweight stocks right now. It's not that I would say I'm straight up bearish here. I just think the risks are two sided. We highlighted the window from August 15th to October 15th as a period where I don't like the seasonals and I don't like the structure. I don't necessarily agree with how the market is priced, some of these macro risks. You have this market structure of a single stock of all has been crushed, correlations still are low. And so I just think that it's a time to take down risk. Today's episode is brought to you by the unlimited HFGM Global Macro ETF Ticker HFGM. Later in the show, you'll hear more about HFGM, currently the number one Morningstar Rated Fund since its inception in the US macro trading category. Let's get into it. Hello and welcome to other people's money. I'm Max Weethy and today I'm joined by Warren Pies, co-founder of 314 Research. Warren, thank you so much for coming back on the podcast. Absolutely. Thanks for having me.

All right, so last week to your clients, you wrote a report called macro takeover. It does feel like macro risk is taking over after what was a clearly very strong earning season, but we're starting to see some choppiness in the market. So I want to know why you believe macro risk is taking over and what are the big macro risks in particular that are driving the market right now? To avoid bearing the lead, we downgraded stocks. I guess it was about two weeks ago now. And so off of that big bounce we had coming out of earning season, we got up to right about at 7,800 and that was really about where we said, okay, this is a good place to take some risk off the board. We had been overweight from mid-April and I explained some of the overweight stuff to Jack on one of your...

your family of podcasts back around that time, maybe more in the springtime. Before we got going, he said, make sure to give Warren some credit. He made a great call on my podcast. So yes, you were decidedly bullish coming into earning season. Yeah. So for mid-April through into, I don't know when that was August 10th or whatever it was, we had stayed overweight stocks. And so that was our call and we've neutralized that now.

It's not that I would say I'm straight up bearish here. I just think the risks are two-sided. I think that the concerns that were happening back in July were sort of misplaced in a little early. And so like back in July what I was hearing from a lot of clients was this worry that we have low correlations, internal correlations in the market. And that There could be a macro risk that emerges. We had the Fed's July meeting back then. That was like a good reason potentially for the spike correlation. So correlation spike and send the VIX higher, the index volatility higher, and you got to sell off. And everybody was indexing back on the July 2024 incident where we had the yen carry trade.

blow up. And that was the only time we'd seen implied one month correlations lower than they were back at the start of earnings season. So our position was that that was that we were actually had a favorable market structure going in early season. So the baseline takeaway we've been very bullish on earnings all year is something we pointed out back in December. that we expected this to be in Ernie's explosion year. We could see signs of that in the in the way analysts estimates were moving relative to their seasonal tendencies back last December. And so that was our call and we we think that's still ongoing. So it's hard to get too bearish on the market but at the same time that's now on everybody's radar. Everybody's been, if you watch CNBC or Bloomberg, I mean, you get a parade of strategies to tell you how great earnings are. And I think that's the rear view. But back in July, there was a lot of nervousness. There was worry about macro. We were going into earnings season, we thought that that would carry the day. And the structure that was favorable was we had single stock volatility, you could use like the VIX EQ to approximate it, we break it down by different components and stuff like that. We looked at semiconductor vol, which was like up at 80%, but single stock volatility was above 50% for a brief period of time coming into that earnings season. So when we looked at history, we said, okay, well, when you go into an earnings season, as long as single stock volatility, single stock volatility, as long as that comes down through earnings season, which it usually does, and usually see correlations rise coming through earnings season because you have like maximum um disparate outlooks as you go through the earnings season and then everything as that ends converges back to macro. So our view is that you would see um this natural kind of push and pull between single stock

volatility and correlations as we exit in a positive earnings season and historically that's a that's a good recipe for the stock market. So we stayed bullish through July we pushed that kept that overweight through um what were these I would say a period of nervousness Now we've had the earnings. Everybody's bowled up because of the earnings. There's extrapolation out to 2027, 2028, and all that stuff. And that might work. I'm not really making a call on that. But it's just that everyone's talking about the earnings, which is the rear view. And now we're stuck with what I think is this very macro can emerge. And correlations rose a little bit through this earnings season. But I'd say they rose less than I expected.

We still have this highly rotational market that we've been talking about all year. And so correlations are still in the single digits. And now with earnings season basically over, I know we have Nvidia and a couple other companies this week, but they're basically over at this point. And I think that the concern going forward is that we do have that now everyone exhales, but you're still stuck with a less favorable market structure and more potential macro risk ahead of us. You have potential lab IPOs, you have a Fed meeting, you have Jackson Hole this week. You have midterm elections and increasingly I think that the midterm elections are going to be a blue wave, maybe a blue tsunami. And so you have all that, that the market has to get through. Maybe it gets through it just fine. And at the same time, you have this market structure, single stock of all has been crushed, correlations still are low.

And so I just think that it's a time to take down risk. The other factor that kind of plays on in the background is we are in this midterm cycle. It's a weak cycle. You don't put too much on it. There's only so many cases. We all know that stuff. But I do think that you seize up a little bit in this period of time leading into midterms. Okay, so when you downgrade stocks, what is taking their position in the portfolio? Yeah, we put it all in cash. So when we did the downgrade, we actually took commodities down to a benchmark weight. We took stocks down to a benchmark weight. They'd both been overweights. We've been running a bond underweight, commodity overweight, stock overweight, cash underweight. That's been our basic positioning that we've led clients to. And I think it's worked pretty good this year.

I look at commodities as kind of a hedge to my equity book. And so we, not so much that we changed our view on commodities. It's more of, you know, if you take equities down and then let's say we had some kind of big deal out of the Iran or something like that, you crush oil. If you stayed over, we come as you could crush oil and then shoot stocks higher. It's just bad risk management. So that's why we took commodities down because we just look at it as a hedge for equities in this environment until we get some more normalization out of the. Straightaway moves. So that's that's the move we did. I don't expect this to be here Forever, I just think it's that this is that window we highlighted the window from August 15th to October 15th as a period where I don't like the seasonals and I don't like the structure I don't necessarily agree with how the market is priced some of these macro risks as well Primarily the Fed meeting coming up next month and so to me, some of those macro risks are not being fully reflected by the market. It's just about that that fed pricing. I mean, what are you seeing? Well, I've noticed like so the odds of tick back up to like 40 something percent, I think that's closer to norm to what you should be at for September. But we got down to 30% for odds of a hike at September median. Remember, again, back in July, odds of a September hike were like 75%. So like this is These are the things you want to fade. Like you want to train yourself to be bullish when that stuff's, you know, single stock vol above 50, 75% chance of a Fed hike out of median. That's really a coin flip. Um, earnings that are ahead of us, not behind us, and they're positive. Like these are the things you should be like leaning into. And that's what pre that's what precedes a big rally. And we got the big rally.

Now we have kind of the opposite of all that. We've had single stock of all go from 50 to 35. We've had earnings are in the rear view, not ahead of us and for the most part. And we have fed high gods. It's been from 75 to 30%. I think that at this moment, they're back to 40%. Okay, so our argument has been this whole time that this is a coin flip meeting. And the data is still live in the data that's come in. that where we saw the odds of a Fed hike come down, our synthesis of that data is that it has not been nearly as dovish as the market's reaction to it. So I think you could make an argument if you want to that that data actually was more pushes you closer to a hike. What did the market get wrong? Did they just over index to the headline number? We plugged in CPI and PPI.

to our PC now cast core PC from our now cast. We expect it to come in at 0.28 month over month. I mean, you never want to like hand put your hand your hat on getting one month out to the hundredth decimal place on core PC. Nobody can do that. I can't do it. Goldman can't do it. But we have a this model we've been running for two years and it's been pretty darn good. You have to trust what you see. You could look through that, like the arguments would be like, well, a lot of that is portfolio management fees. And like, you should look through that, you should look through that. But my big picture view of the Fed right now, there's not explaining their reaction function so much anymore because of the Warsh regime change. But my view is that the tolerance for looking through things, even things that are appropriate to look through at the Fed is wearing thin. So the Fed is, And I would say that's another way of describing political pressure. They're feeling political pressure. You see it in like Beth Hammack's LinkedIn post and comments. It's a very alarmist, emotional and political set of commentary arguing for a hike. And it's really just saying, we've been above target for a long time. And the people in my district can't handle this. And it's an emotional appeal.

like a data appeal, in my opinion. And so to me that's indicative of like the mindset that starts giving way to a Fed mistake. Now, Hammock's always been a hawk and that's where she's one of the three descents. I worry more about the core of the committee and that's Waller and Williams and Powell. I think they're really on the same page. Williams is probably the most dovish of them. Waller, I see him as a very much a bellwether on the committee. And if you read, if you go back and listen to any of his commentary, especially like his May commentary, he kind of describes what I think is his, this political pressure in a really interesting way. He says like, basically, if we don't, if we keep having these one off supply induced spikes to inflation and we don't react to them, but then each one keeps coming in as like a surprise on the inflationary side.

the population might start reading some signal into that randomness, because each one of these shocks should be theoretically random. And he's saying, well, if the population starts seeing these things as connected, then they're going to believe we're not doing our job. So we might have to hike anyways. And so what I hear all this in academic speak and just like

listening to these guys for a long time, he's basically saying like, I don't think personally, Just in my heart of hearts that we should be hiking because of the price of oil and because of a supply outage in the straight of Hormuz But I do feel the pressure and I understand the guy in the street Sees the gas prices up and I also understand that the guy in the street thinks that the buck for inflation stops with me He doesn't want to hear about fiscal deficits. He doesn't want to hear about geopolitics He wants to he's wants to take his anger out. He wants a scapegoat and the Fed is already made scapegoat if you're not careful and so I think that He's describing political pressure and the political pressure that comes from higher oil prices and that goes back to like, you know We've seen CPI and PPI in our now cast point to higher PC going forward Unemployment rate is down again in the feds framework. The fed doesn't the fed's not going to parse the non-farm payroll report at least by their own own strict definitions. They're not gonna parse it the way like we would in this community. They forecast the unemployment rate. Unemployment rate falls, they see it as a tighter labor market, a more inflationary labor market. They work within a Phillips Curve framework. So I think as much as that was like a negative jobs report and it looked sluggish, you know? And the fall in the unemployment rate was all due to labor force participation rate dropping.

it could very well mean revert but I don't think that the Fed necessarily is going to feel comfortable looking through all that and then you bring in the oil price it's higher it's still higher you know these guys and we all kind of expected this thing this this war to be done by now for prices to have normalized by now and they haven't they're just hanging out here above 90. And every day that goes by with oil prices above 90 and crack spreads that are like double that, which point to high diesel prices, high gas prices. Every day that we hang out here, that political pressure that Waller was referencing back in May, it builds. So could that core of the committee, along with the dissents, along with Lisa Cook, who's talked directly about AI investment as inflationary. Could they get together and push for a hike in September? I think absolutely. And there hasn't been enough data that points... Let's put it this way. There hasn't been enough data that alleviates the political pressure, which I think is the real issue within the Fed right now. I hope you're enjoying today's episode.

Global macro investing is in a renaissance. That's because the world is changing faster than ever with higher interest rates, rising global tensions and AI uncertainty, representing just a few of the mounting obstacles for traditional 6040 portfolios. Uncorrelated global macro strategies can offer a powerful tool to help capitalize on economic shifts. But historically, traditional alternative investments have been an exclusive club where access is limited and so is the information shared on the portfolio holdings. Not anymore. Enter HFGM, the Unlimited HFGM Global Macro ETF. Unlimited uses a proprietary algorithm to analyze public data from the world's largest global macro managers to construct a dynamic portfolio of liquid holdings. The strategy aims to capture those global macro returns while targeting a volatility level designed to make a meaningful impact on your portfolio. HFGM delivers exposure to the broader global macro sector without the burden of typical LP structure headaches. That means no high minimums, no locked up capital, no K1 tax forms, and significantly less fee drag as well.

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can be found on unlimited ETFs.com slash HFGM distributed by four Fund Services LLC. Thanks for listening. Let's get back to today's interview. Definitely going to get that PCE, but, you know, as you said, it's kind of tied to CPI and PPI with the PCE. Correct me. We're not going to get another PCE print before the next meeting. This is going to be the last one, sort of the last big data point. Well, PC and all get CPI and PPI. But they claim that they don't look at those.

Right, but I mean, they do. So I mean, they would they would love it if we got another, you know, week if they this could change like that data could would absolutely it's a live meeting. It's a coin flip. I don't think that this is preset. I don't believe Warsh is what I don't feel is that Warsh is going to be pushing fry. I think that's what makes the dynamics interesting. And I think there's a lot going on honestly within this Fed right now. I personally think Warsh is Once is a dove in this world And it's a question on whether this committee is gonna kind of revolt and put him in an uncomfortable spot They can almost force him to move with them or be a dissent and I don't think he would do that because it would He would as the chair ever dissented not to my knowledge not I don't I honestly don't know 100% but it sure seems like a seems like a crazy thing And so yeah, I think the chairs, you know, that's the dynamic Maybe I'm crazy. That's the dynamic that I read out of the committee. But what about the reaction? Let's just say they do hike, right? So many people are saying that the long end is doing what it's doing because the Fed hasn't acted to fight inflation. You've got another camp of people who are saying it's driven by the fiscal deficit and the issues that we're seeing there.

But there are certainly a lot of people in the market who believe that a hike would put an end to the pressure that we're seeing on the long end of the curve. I mean, do you think that the Fed stepping in here would help solve those problems? No, but let me just first define some terms. When we say the long end, I think being a lot of people are talking about the third year, I think the third year is in in consequential yield at this point in time. I get that best since reacting to it. So maybe it's less, maybe it's more consequential than I give it credit for. But I'm not trying to predict the third year. I think it's highly illiquid, odd little market. And it's not really, the economy is not pricing off the third year. You could argue that the, if it gets

high enough, then you're going to suck capital out of the 10 year, which is the yield that matters. And eventually, you know, Create or it's gonna pull the tenure up right and so like you could make that argument but like just for sake of discussion Let's just say the 30 year doesn't really matter and what really matters to the Fed What really matters to the economy is the tenure and can you in will the Fed by hiking? caused the tenure to come down My my belief is no that's not how I see them how the market works in my opinion and I would just say like I almost throw the question back to you as like a thought experiment. Like why would the tenure come down because the Fed funds rate went up? Like what would be the reason for that that you hear out there? Oh, just because it shows credibility to their inflation fighting mandate and thus that they are going to rein things in and that we're going to get back to a cutting cycle faster, right? That stepping in here means that the time between end of this hiking cycle, however long or short it is to the next cutting cycle is compressed. I think I would say like that if it's like we're fighting, we're hiking to save credibility and we're hoping to come bring, take down the lack of credibility risk premium in the market. You would see that show up in a term premium. You'd see that show up in a yield curve. We've done a lot of work historically on.

Term premium models and yield curve are very highly connected. So you can almost speak of these things interchangeably Term premium model you can look like at the ACM term premium model. It is like 80 something basis points right now And that's in the real yields that we talk about that have gone up here in recent months But like the yield curve is around 50 basis points or 45 basis points right now Tuesday's yield curve I don't think there's a lot of credibility that's built into that right now. I don't think that you would see a steeper yield curve if the Fed was starting to lose, truly lose credibility. You would see a higher term premium if the Fed was really starting to lose credibility. So I don't think that's what's driving rates right now or what's in the market right now. So in order for a hike, to signal future cuts, you would need to go through this process, which is what always plays out. Basically, every major hike cycle, and we showed that in our report, which is that you need to hike, and then you will flatten the yield curve, but the two-year yield will go up along with the 10-year yield. In most hike cycles, the rule of thumb, and this is not for every single hike, but this is the rule of thumb, going back to the 80s, Forward seven hikes

studying seven hike cycles every 25 basis point rise and the Fed funds rate gives us a 20 basis point rise in the two-year Treasury yield and a 12 basis point rise in the 10-year Treasury yield, which means you're gonna have a 8 basis point per hikes flattening of the yield curve a bear flattening That would be my expectation if the Fed started hiking. That's what's happened historically. That's what I think would happen And in order to get to a place where the Fed is going to cut to that in a way that the tenure would start going down, flattening and maybe even inverting, you need to start seeing economic activity slow. And so in order to slow economic activity, I think you need a higher 10 year before because we aren't slowing the economy with a four seven 10 year right now. So, you know, you would need a bigger rate shock. So I don't think that this idea that the Fed Hikes it's gonna lower the tenure really passes the smell test that doesn't pass recent history if you look at the move between like So for futures implied rate and the tenure they're really moving in lockstep for the last two years if you look at previous hike cycles or cut cycles for that matter we looked at all these regimes When the Fed starts hiking the the curve starts flattening. It's a bare flattener like I said I went through the numbers on how it rises And there is nothing in the size of the yield curve, the steepness of the yield curve, or the size and term premium in these various models that we look at that suggests the market's really pricing in a Fed credibility problem. I think it's probably pricing in that neutral is a little higher than most of us expected.

The market is mispricing the chances of a hike. We've come closer to that in the last few days. But then on top of that, you think that people's beliefs, at least from what we're hearing in commentary, it's hard to say whether the positioning aligns with that. But at least the commentary seems to believe that this would be a stabilizing hike and you don't really see it that way. So do you think that this hike potential in September, is that correlations to one type of event if we get it? I worry about that. Yeah. I would guess if you knew, if I knew with certainly the Fed was going to hike in September, I'd be underweight stocks right now. That would be my, that would be the way I would be positioned or be guiding, guiding my clients to position. And like I said, I think that the meeting's a coin flip. I don't think that anyone can have a ton of confidence in what the Fed's going to do given the different blocks of the committee given washes cloak and dagger kind of Communication style and given the amount of data that we still have to take

in between here and there, but when you're that close and We've gone through the earnings season. That's why I say a neutral posture here is appropriate Neutral to your benchmark, especially if you're having a good year if you're over been over way through the rally If you're ahead of the bench your benchmark like you should reduce risk here. That's been and I had a lot of clients when we did the downgrade who manage like big pools of capital and they I think they were surprised because they're like you just won like you just you pushed and said be stable stable as we get the breakout and now you're taking it down like and I had to explain all this to them and you know it's hard when you have a bunch of different client types I'm just trying to say like to the to the person that's managing pools of institutional capital with a benchmark like this would be the part where I started saying, okay, let's protect what we've done this year. Okay. So if you had that certainty, you would be underweight. We've been focused on the Fed. What about some of these other macro risks? Obviously we get Nvidia earnings. The AI trade has not quite bounced as much as the rest of the market. We've gotten a lot.

of rotation? I mean, is there a potential that we continue to see weakness in the tech sector and the rest of the market starts to correlate? The rotation, the broadening slows down and the rest of the market starts to follow it? I actually asked Caliban last week to just give me a breakdown of everything that happened with earnings and I think it said something like 9 out of 11 sectors had had beaten their earnings. Yeah, I mean the broadness is I'm a little bit of a my and I think I explained this with Jack like my ideal Mechanism for this bull market continuing higher is tech leadership broadening tech leadership broadening I think we are in this broadening phase and you look at the chart of like RSP or equal weight S&P 500 and that's a it's a Beautiful chart. It's just constantly putting in new highs. I mean that's probably one of the if you're again, you're neutral I'm neutral here. I'm not there's a lot of bullish things I could pull out to and we've been talking about the risk factors I think that that chart is is It's hard to look at that and be too bullish or bearish at this moment in time But I do think that the way these things work is you you have tech leading Broadening phase that's where we're at and you need to You'll ultimately need to see tech reassert its leadership. Otherwise, I don't think the market has a ton of upside. I just think mathematically, when you look at where 50% tech at this point on the

S&P 500, it's these things. Just like the broadest years we've ever seen, if you're measuring it by the percentage of stocks beating an index, the broadest years we've ever seen were in the bear market years following the tech bust.

And you see, you don't want to see a market that's too broad right now, like 2000, 2001, 2002. Those were the years where more stocks beat the index than any other year, but the index was like, you know, on in the toilet. And so that's that's that's kind of the dynamic right now. So you need to see tech reassert itself. There have been some cracks in the AI armor, you know, and this was, again, back to the conversation I with Jack, this was like a big part of it. was that we are big time AI believers. You guys, we talked about Caliban. We've talked about how Caliban, it's our AI research assistant. It started internally. It really boosted our productivity and then we productized it. We started selling it to our clients and into the public. And so we're big AI believers.

But at the same time, the expectations have grown in the space. You have these big lab IPOs up ahead of us. And then recently, we've had the ARR numbers for Anthropic and OpenAI League. And I would say they undershot are. We are current best guests from. reading the tea leaves is that we had to combine like 115 billion of ARR out of the labs and are in Fernando's last AI update report. And I think the combined number that we had for ARR snapshot was 105 billion here. And in this world, that 10 billion miss is huge. And so I think that's been weighing on the sector and everything since that point in time. And there's been just some seizing up of like, Oh, gosh, maybe things aren't as good. And I think those lab ARR numbers, that's There's a lot of concern that all the money is circular within this ecosystem. I get all that. We've talked about that. But the lab ARR, that's how you pull in external capital. That's the gauge of the external capital that's coming into this AI ecosystem. So you need to see those numbers going up. Those numbers need to go up to validate all of the lab capex and validate the compute build out, which goes into the data center capex and everything else. And so it's a very important number. Clearly the growth's been great. Clearly, we believe in the tech. But there is potentially this, we're at the diffusion stage now, adoption stage, and maybe it's, maybe we're hitting a hiccup. Who knows? Maybe they're sandbagging. That's

another possibility that the labs actually have some a rabbit they're going to pull out of their hat. You're going to get the best model possible private IPO you're going to have some you know pushing down expectations so we can blow them away later type of scenario that's entirely possible there's there's a lot of ways this could break so what we do is we check in addition to the lab ARs we are constantly monitoring monitoring GPU availability monitoring rental rates we I tweeted out Last week that we did see some cracks also in our GPU availability data, which was a that tweet was It was hated and I got a ton of traction to I mean just lots of people Jumping into the to get into my DMs even to I didn't know of big followings in our notorious AI bears who like all of a sudden thought that I was like on their team or something and I'm just following the data I'm just telling you what the data says so like you know the data said that our availability data spiked up our what we call our fast availability index was uh had like one of the fastest rises that we've really ever seen in it we've been tracking this data since 2023 when you dig into it it was really all the rise was almost a hundred percent attributed to h200 availability just shooting straight up We track pricing for rental rates in a lot of different places. One of the places, it's hard to get H200 pricing. One of the places we look at is AWS spot pricing or we average out spot pricing in different regions. And that showed over this period of time that H200 pricing had gotten a pretty high relative to Blackwell, relative to B200 pricing. And so, just having an understanding of how inference economics works and tokenomics works like it makes sense to see H 200 price pricing it needs to come down from that level it doesn't it should not be up there with blackwell pricing so it makes sense to see this availability spike so when we dug into it and started looking at the different kind of cross validating these things, looking at this data series and that data series, it alleviated our fear. We're like, okay, this looks like a benign rise in availability. And the most important factor when you just clear through all that stuff is that Blackwell B200 availability is still at zero from what we track. And that's the GPU everybody wants. The token outputs just so much better. The economics are so much better. So it makes sense.

Maybe there's a little signal in that H 200 availability going up. Maybe this all out grab first compute might be ebbing a bit. I don't think there's anything to get too tied up about yet. We monitor it like we monitor it every

hour. So we'll be on it and we'll talk to our clients if we see anything there. But like our basic under basically when you just clear all that out is that this is a benign rise. It was it was odd. It was a little concerning when we saw it. But as long as B200 stays where it's at, we're not really concerned that this is any kind of real change in compute demand. And that's really what we're trying to get at. So you said tech, if we don't see tech really start to lead again, it's going to be hard for the index that too much broadness is actually kind of a bad thing. What does that mean? Because one participant in this and part of the reason that the equal weight index has outperformed so much has been the lack of participation from mega cap right the beginning of the year it wasn't this wasn't the year of Nvidia this wasn't the year of the hyperscalers at least you know by and large in terms of the equity market performance and so I wonder you know is it can we even distill that that view down about we need to see tech returning to strength Do we need to see mega cap tech returning to strength or can it continue to happen with some of these bottleneck stocks? They've gotten to be so big that it's hard to talk about them as like small caps or anything like that now. But I guess do we need to see mega cap catch a bid for the bull market to continue? I think so. Yeah. I think that's kind of important. I mean, when you start chunking, one of the things we did earlier this year is we started chunking everything up.

Looking at you're seeing more charts and studies like this like the number of negative beta stocks in the market like everyone's getting at the same everyone's touching the same elephant so to speak you know and I'd say that we we looked at it initially is like semis are kind of the core of this market right now like that's the that's the group that you know is is Proper leadership for this bull market. It's an AI the whole economy has gone all in on AI at this point and so you know, you're getting 18% of S&P market gap now as semiconductors. So you have that pool and then you have hyperscalers. If I was designing the bull market mix going forward, like let's get through this macro stuff that I just laid out and say, okay, we need to see, we need to get these S1s, we need these IPOs, we need to get through this period of time, we need to digest some of these macro risks, maybe reset correlations, consolidate the gains we've had. Okay.

What's the next leg? I think that the ideal next leg is that you exit this period where hyperscalers and simis were negatively correlated, where you couldn't get either of them going up together. You need them both to go up together. And so to me, that's the real mix. So that requires hyperscaler requires the not necessarily mag seven, like Apple's kind of incons. Apple has become just like a Another defensive play or offset, you know, it's just a place to put your money when this other stuff's not working like But forget Apple like I mean like the hyperscalers the the spenders and receivers chart that was going So viral earlier in the year they like those stocks need to go up together because all of a sudden the market has a light bulb moment where it's like the ROI on the spending is actually very strong and we're seeing that in Cloud revenue growth and everything else and that's I do believe that's the truth I think if you can get beyond this and get back to a place where we're really focused on earnings again And we got that for a short period on this burst higher to like 7,800 on the S&P 500 we got that period where Simi's put in a bottom Hyperscalers reported and boom you had You know all all that stuff was working together and you saw how powerful that kind of market mix could be to me That's the recipe But clearly the market needs a little bit more. It needs to rebuild its confidence and to get there. And so yeah, I think you think we have clarity on the ROI on the spend or we're starting to get clarity. I mean, to me, I think that that what the market is clearly saying is that the ROI is still in doubt. In my mind that it is settled, like the market is we're going to get backs back in and filling and all this stuff. But like, To me those quarters were pretty conclusive when you saw you saw Microsoft did you saw it Amazon did even Google was like it was down and then up. I mean like I think that the I Think you can do you we've done this you can model out the total cost of a data center and then with a little bit understanding the GPU rental rates where they're at like GPU rental rates can have gone up this year. That's not supposed to happen Once these data centers start recontracting at these rates like this is going to be this would be a stair step higher for for cloud revenue for data center revenue and so to me It it's I mean it's never settled because you could have like we talked about you can have a downturn the AI story could could run out of gas like the tech itself could run out of gas but if you believe the tech is out here and that's what we believe that's like your north star in this then you're going to continue to see the compute spend and demand ratified via the technology. It's just a matter of what's

that path out there. I do think that this period with IPOs and elections too, which is kind of like a more realistic risk. I mean, data centers have become a political issue at this point in time, and that could become something the market worries about more. Like one of the things I'm concerned more and more about as I look out to your end is like, Maybe the seasonal pattern everyone expects this post election rally. Well given the amount of You know data center dependency within the market if that becomes a big part of the the election results Then do we break that tendency? I you know, that's in that's it's too far out for me to actually act on it right now I just play with these ideas but outside of the politics in some turning the some negative turn in technology, which I I highly doubt Yeah, I think that the the data center ROI question was basically solved this early season. That's what I would say. Okay. And what about, I mean, the political risk, if you do get that, that blue tsunami that you're talking about, is it just chatter and concern from the market or are there actual real policy consequences that you could see that could derail the AI build out?

Yeah, it's hard to say I think that you could just slow the data center build out you could you just Who knows what form it would take but it just I Look at it. I've been talking about that. I think again going back to the conversation I had I believe with Jack or someone else around spring would just say it was Jack Okay, so it's like spring this year and we're what are your risks? And it's like what I said at the time is like these the spokesmen for the labs are horrible. They're horrible. And they're losing the hearts and minds of the public. You know, like Dario's presentation of the future of AI is not enticing to anybody. The public has heard and decided they don't trust Sam Altman. And that's a those are those are made already. You already made your mind up on him.

Yeah, Elon's polarizing as it is. I don't think he really represents like the, the, uh, you need some, you, they need to quickly start talking about what positives are going to bring. And I do think there's going to be positives. They need to highlight the positives was what I would say. They need to get some quick wins. This has been one of our reasons we've said within sectors, we like, we've been saying it for some months now is like healthcare was going to be that next place you go because like those, that would be a place to turn your. focus as a lab or as an AI someone operating

in that space that could find some very tangible quick wins and you can even already see it like if there's a drug development like anyone wants to try and say the data AI help with this or something like that So they're they're gonna work to get that out in the front and center I believe To try and shift public opinion, but to the extent I don't know what the what the We'll see what the election results bring. And I just, I don't know what they're going to do. I don't know if it's all bluster, you know, this new crop of Democrats doesn't seem like the old Democrats. They seem to be, you know, much more true believer types. You know, they don't really seem to, they don't seem like capitalists, you know. And so to the extent that reflects.

Public opinion, I think that you have to take that risk seriously and the market can price and risks that never come to pass too So you can you can have that happen and then you get a discounting in process So we'll see I think you watch the prediction markets and watch the polling and where public opinion is going the market might move before the election But it's a to me that's the most real risk because I think everything else if we just keep going in this direction with the tech and and and demands for compute are going to continue in a linear fashion. Okay, now what about the issuance? And we'll talk about equity and debt. Besant came right out and said that he thinks that some of the issuance in the AI build out is impacting the treasury market. I mean, do you think that's realistic? It doesn't seem like that train is stopping. And so, you know, as it relates to...

The the buyback program all the things that they're implementing to try and stabilize the bond market I mean if it is really what's happening with the AI build out. Does it does any of that even matter? I really don't think that's moving the Treasury Mark if you've gotten to a place like here's here's like so There's a real answer is a technical answer and there's like like the more Functional answer I should say like So the very technical answer is that to the extent there's one single person who's deciding between buying a treasury and an IG corporate bond linked to one of these hyperscalers and that next incremental corporate bond comes out with a more attractive risk reward and they put their money there, then yes, they could be taking a buyer away from treasury market. But when you zoom out and say like, The net issuance that's been taking place quarter to quarter when you get say hyper scalars and everyone else in S&P 500 it hasn't been abnormal It hasn't

been all that large. You look at gross issuance non financial gross issuance this year. It's tracking high It's higher than every year on record that we've seen other than 2020 but if you were to adjust that for GDP or adjust that for market cap for equity market cap It's down towards the bottom of all calendar years. So this is we've had a long period of like private balance sheets in general have been recapitalized in a positive way post COVID in a positive way. And so this is just like in the scheme of things, this is like a tepid reentry into tapping the debt markets from a large cap segment that has been Has it needed them hasn't wanted them for many years and if you're the Treasury if you're the 800 pound gorilla in the bond market and you're in 250 Billion of net new issuance coming from these hyperscalers is really going to get you nervous about what's happening on the in on the body the 30 year or yield or whatever then You had problems before that. More about the Treasury market than it does about the credit markets. It's not the reason. That's not the reason. And I think causations all turned around there. I think if anyone's driving, anyone's cost to capital up, it's the federal government's driving up everyone else's cost to capital because they've run pro-sequical deficits for six years post-COVID.

It's a weird my theme for this part of the cycle. I it's not I've been written about I talk to people about it is like scapegoating I think we're in the process of finding a scapegoat that we're gonna pin a lot of things on and so like everyone's doing that we're testing out scapegoats will it be tech will it be Trump will it be you know Right now. That's what I feel like Besson's doing. He's looking for a scapegoat. He wants to pin this on Tech issuance. It's his own problem. It's his own fault Well, the one that's that's usually the big scapegoat is the energy sector and they tried that earlier in the year and the earnings just continue to be great I mean of all the sectors that have just kept powering along it was actually one of the better performers is the only thing alongside tech that really performed well in H1 it's continued here in H2 and we've got all of these other scapegoats to point to now I mean do you think we just continue to see positive surprises in the energy sector. I know you've written a lot about how you think it deserves a more permanent position in the portfolio as we digest these problems in the bond market. I mean, is that still your view? My view, yeah. It's been that way really since 2022 when we really, then we had the Russia-Ukraine war. And when you start running the numbers, like if you flip from a disinflationary

to an inflationary regime, you know, bonds and stocks are going to move together more often than not. If you're going to have a problem in your equity portfolio, it's going to emanate from your bond portfolio. So trying to find diversifiers is a real issue in this world. And the one that always crops up is energy based assets. And so to me, you know, energy sector has such a minuscule portion of the S and P 500. It just makes sense to run.

Just a constant overweight within your portfolio I mean every year and yeah the gluts form and you can trade around that position and have and have views on oil price and things like that And we had a big glut last year and leading this year, but When geopolitics really hits this is there's no other place that's gonna buffer Your your equity portfolio and increasingly if the feds gonna react to oil prices now you're really in a place which is what I think the first part of this conversation was hinting at, then you're really at a place where you need an energy overweight as a diversifier. So yeah, I'm 100% with that position. I don't really see that changing. I don't know what would change that. I mean, with the performance recently, do you think we've hit that period where it is a little stretched? You might want to trade around it? Or is it the type of thing? You're comfortable with where oil prices are, where crack spreads are?

Yeah. So in our fund, in our RAA fund, we have, we are overweight. We just have a structural overweight situation. We have, so we have our S&P weight, which, you know, that flexes up and down, but obviously energy is what at 3.5% of the S&P 500 right now, 4%. And then we have another within alternatives, we put in another energy sleeve because we just consider that as an alternative. Like when you're talking about, when people say, Oh, we have a net again, going back to the There's a lot of these same concepts that keep coming up where, oh, there's so many negative beta stocks. Well, the reason there's been so many negative beta stocks, we went through a correlation of one event where not everything was a one. We had a correlation of one event with the Iran War, but energy stocks spiked. And so you see weird stuff in the data. It was a one negative one. Right. Exactly. Some stocks had their best days ever, and the rest of the stocks had their worst days ever.

It creates interesting statistics and things like that. So we put energy as an alternative in that sleeve. So it's a perpetual overweight. Everything moves up and down. If you're going to ask me kind of on an ad hoc basis, you dig into the energy sector. Obviously, everybody knows refining margins are at like crazy high levels right now. You know, no matter what happens, there's ideas that the US is manipulating oil price and things like that, but they can't. force more refining capacity out into the world. And so you see those spreads blow out. If I was going to take a shot here though, I would probably take weight off of the refining segment and move it back to some like more general integrated type of play because the next phase of this is like you're going to run through that SPR. That's what I think is going to be on the headlines next. If we're really settling into different flow pattern in the Strait of Hormuz then I think we're going to start hearing about what's next for the SPR, this release is basically over, that's been plugging the hole, that's been helping refiners so you probably need a higher oil price once we get to that phase of the conflict if there's no resolution.

Okay. Now I want to ask about Anthropic. We had SpaceX earlier this year and we really did see the space sector sort of rallied. I mean, it was a great period of just general bullishness in the market sort of leading up to that SpaceX IPO. But right after it, a lot of the space pure play stocks did not perform very well. It sucked a lot of capital out of the sector. Right now the pure play exposure to AI is by and large been in public markets the semiconductor stocks And so I just wonder with a sector that is struggling to regain its strength right now Do you think that a? Flashy company like anthropic coming to market that people view by and large as a pure play I mean is it is the true pure play on AI? I mean is that gonna create a tough environment to get that?

semiconductor strength that you think we need? I think it would be, if anything, a negative for the software sector as Anthropic comes to market. Like we've looked at, if you like, what Fernando wrote his annual state of AI report a couple of weeks ago is a great report. And he had an interesting chart in there where he put the market caps and how they've changed the whole entire AI stack from hardware to software and into the labs and like we've seen like It's interesting as you've seen like a two two and a half trillion dollar hole Blown out of the software space. It's almost like it's

making room for these labs to come in there and take that space I think that's what's sort of funny. It's like a 30 trillion dollar stack and you've got I don't know what we're end up at with the IPO price values It could be anywhere from two to four trillion or whatever and combined value and so like I think you're seeing the market kind of make room within that software space. So then I think that's where Anthropic will land. It'll be a software company within Geeks classification. And so if anything, I think it'll be in a way on software and be positive for Simi's and hardware. I think that the Simi's hardware are servicing Anthropic, but you never know. I mean, Derek Dario told somebody or he's known to say like, Anthrop might be the only company in the world at some point in the future and so You know in that case it's crowded everything out He needs to work on that messaging man. I I was gonna say if they've had a messaging problem so far wait until How do you think all those guys like Alex carp feel when they hear stuff like I mean there's not just the low guys that are worried to you know, it's Everyone in that software space, I mean, I've got clients through software VCs and talk to them and in private, at least they're nervous. This stuff, this is a nervous time. This has been a very nervous year for them. And so there's a lot of, there's gamesmanship going on even within the tech space, but I think that the real pain point will be software initially during these IPO periods.

Yeah, I mean what do you think about software's relative strength again? I Taliban last week when I was thinking about this I just said let's start it with Q3. I think it ran the data through Thursday's closed last week so August 20th and I was like how much has software Outperformed relative to semis and you know through Q3 software and services were up 19.99% semiconductors and semiconductor equipment down 7.47 basically, you know, that's That let's call it 30% relative performance between the two At some point last week Do you think that was technical in nature just continued? You know unwind of of these leverage positions or because a lot of people were saying this is the the tech Earnings strength this is the software earning strength finally playing through now that people aren't chasing AI higher They're able to to reward these earnings. I mean, do you think it's fundamentally driven or technical driven? It's technically driven almost certain of it Yeah, that's been like why I said and we wrote a lot about this this year and looked at a lot of studies on this Why I said that this

is a the semiconductor group is the That's the straw that stirs the drink in this market and everything Everything has all trades since going back to the spring With the the mythos model fable announcement and the leak there and like all that stuff from like I was like April 8th V shot higher a lot of trades were put on and The trades that were put on were some variation of long semis long AI build out trade and short something else. We saw we saw a pair of trades coming through that were like short consumer staples, short financials, short certain utilities, definitely short software. We saw some long, long hardware short, short hyperscalers. I mean, these are a pair of trades and they think that's why you see the alligator jaws open.

during that period you know it was a period where mostly you saw chips up software down and I think that's a proxy for like the the market's belief in AI and now you're seeing that unwind and so I do think it's technical in nature I don't think it's like there's been a real fundamental shift but I think it all comes from the semiconductor like simis are moving things so simis are down Software is probably gonna be up. That's just how it's been going until you have that macro event that we're talking about where everything goes down together like if simis are down you can almost guarantee I can you tell me what SMH is doing on a day and I can tell you what else is up if you tell me it's but it's down by 1% like okay, then a whole bunch of simi some unrelated stocks It should be unrelated. I can tell you if they're what they're doing. They'll be up, you know And like I play that game often where you just go look at the SMH, can tell yourself, okay, guess what else is happening in the market? They pull up your heat map and you're right. So how do we get this world where people are saying, well, correlations are low, but we can all see these sector level correlations plain as day. Is it just that we've kind of just found an equal balance between these two trades?

that is causing this, I mean, because again, some Caliban data that I looked at was, you know, just how the sectors were performing through Q3 energy was the top health care, financials, materials then, but at the bottom actually was industrials and utilities, which by and large were beneficiaries of the AI build out trade. Yeah, I mean I think if you you really got to build the basket different from the geeks sectors because there's like their beneficiaries in industrials, but then there's losers in industrials and there's certain utilities that benefit and there's certain utilities that don't benefit and There's rates

risk in that too. You know, I think that part of the most interesting side of the Equal weight going up is in the face of rates going up because I usually think of like in order to get an equal-weight breakout, you need rates to come down to a much more rate-sensitive sector because things like REITs and things like utilities and things like staples get the same weight in that. So it's hard to operate from the Gix sector level and draw really strong conclusions. I just think that this is the theme. I don't have like a great academic answer. I just look at the market and can tell you this This pattern is very much in place at this point. I think that it's probably a combination of the multi-strats that are putting so much money to work on a day-to-day basis. And they like to pair trades together. And they want to be long AI. If they want to be long AI or get out of the AI trade, they're going to go into the names that we know, the AI basket. And if you're going to go into that and you want to be short market risk or you want to be short some other factor, that leaves your, you can do it by saying like, well, I want a short software because I get more juice there. You could also short totally unrelated things like Campbell's soup and Hershey's chocolate. And just like these things have nothing to do with AI. There's overvalued rate sensitive general stocks that I can, you know, pair a long position with. So that's been what I've thought we call them funding shorts.

Funding shorts they they they're kind of all over the spectrum in my view like what you need is Something to break that in order for the market to get out of this grind higher period You need something to break that which goes back to the either a macro risk on the downside Or in earning story you can tell yourself That propels things is a group higher All right, so I want to close with a final question about if we do get that macro risk to materialize the trade has been to fade that risk and to pile in to what was working before prior to the risk that has by and large been the trade going back to the tariff tantrum in 2025. Do you think that if we do get this materialization of correlations spiking to one event that one is the market going to react that way? Are we going to have the same reaction function of people piling back in? And two, do you think that's going to be the right trade? I'll answer the question, but I don't think it's smart to plan these things in advance because you have to see how that macro, if the macro risk really happens, then you have so many other sub questions you have to answer to get there. But my

general zooming out, like when the dust settles, I want to be long the AI trade. That's the theme.

If you want to, if you're managing, just going back to like why are all these multi, why are the positive trying to be long AI and short something else? What's going to push this market higher? How does, how does this thing end? Like you either believe in the AI store or you don't at this point. Either you think, you know, this is just like a big malinvestment bubble and or you're reliever. So my view is that that's all roads lead back to those AI trades. And that's the leadership spot, and that's where you want to go. Obviously, there'll be a general balance at first, but if you really want to fade that macro risk, that's the place that's going to give you the best bang for your buck. Yeah, well, I will close with just saying, if you are somebody who's in the money management space, you're in financial research, Jack and I have gotten a tremendous Tremendous productivity out of using Caliban AI from 314 research. And we do have a special offer for listeners. If you go to 314research.com backslash monetary dash matters, you can get special pricing for Caliban. So the thing that is nice for me is trusting the data, just trusting that the data is there, that these are questions that it's working through all the time. It's not a new question that it's trying to attack for the first time. So we'll just throw that out there. Warren.

Thank you so much for joining us again on the podcast. Thank you for having me. Thanks for tuning in. Looking into HFGM by Unlimited, head to unlimitedetfs.com slash HFGM to learn more. That's unlimitedetfs.com slash HFGM. Until next time.